Summary

- Diversification is very important at all stages in life. This implies, among other things, that you should not allocate more than a small fraction of your 401(k) tax-deferred savings plan to company stock. You should make sure to have exposure to international stocks and alternative asset classes as well.
- Remember that the most valuable asset on your personal balance sheet is your human capital, which has characteristics of a stock or bond. The riskier your human capital, for example, the more it resembles a stock, the less stocks you should have in your investment portfolio and financial capital; inversely, the less risky, the more it resembles a bond.
- Over long time horizons, the probabilities favor investing in stocks/equities. This does not mean the risk disappears or goes away. It simply means that you have better odds.
- The real reason you can afford to take more diversified investment risk within your 401(k), when you are saving for retirement, is that you have an investment in human capital, which may behave more like a bond than a stock. You also have the option to delay retirement, which gives you a buffer against market risk and volatility.

Endnotes

An interesting and accessible paper by Jagannathan and Kocherlakota (1996) reviews the reasons why time and age might, or might not, play a role in the optimal asset allocation. One of the early works on the concept of time diversification is the monograph by Reichenstein and Dorsett (1995). The book by Siegel (2002) is by now a classic in the field, advocating that long-term investors should allocate a much larger percentage of their wealth to stocks, while the book by Bodie and Clowes (2003) takes the opposing view that investors are taking on too much risk and should allocate more toward fixed income bonds. For those who want to read up on the state of the art when it comes to asset allocation models, please refer to Campbell and Viceira (2002). In most of the book, I use the term "expected return" to denote the arithmetic mean. The arithmetic mean (AM) return is greater than the expected growth rate, aka the geometric mean (GM) return. To convert AM into GM, subtract half the volatility squared. For example, if AM = 7% and volatility is 20%, the $\text{GM} = 0.07-(0.5)(0.2)^2 = 5\%$.